August 31, 2020

[Comments on Clause 101]

As to sub-clause 3.c), in case of the project that reached approval of investor selection result, contractual conditions provided to an investor may be drastically changed from the original after PPP Law becomes effective. Especially if the following conditions are changed during an investor is negotiating project finance with lenders, lenders may have difficulties to conclude financial close, then the project will become unrealized;

1) No GGU guarantee is provided.
2) Contract termination compensation is not clearly stipulated. (Clause 52)
3) Assignment of shares of project company is allowed only after the completion of construction. (Clause 54)
4) Governing law is Vietnamese laws. (Clause 55)
5) Only 30% of foreign currency exchange is guaranteed. (Clause 81)

Such cases are against the interests both of Vietnamese government (the competent agency, the PPP contract singing agency, and so on) and an investor. Therefore, we would like Vietnamese government to consider to specify the following exception in a regulation;

In case of the project that reached approval of investor selection result, as well as basic agreement on terms and conditions of the project contract between an investor and Vietnamese government (the competent agency, the PPP contract singing agency, and so on) before the effective date of this Law, the project can continue its implementation according to terms and conditions of the project contract.